

In 1960, Congress wrote legislation allowing the formation of pooled real estate trusts that could trade on a major stock exchange. Real estate investment trusts were designed as a tax-efficient vehicle through which investors could own a diversified real estate portfolio. Companies that manage REITs are generally exempt from federal and state income taxes as long as the management company complies with certain Internal Revenue Service code requirements. These are the most important of those requirements:

1. Invest at least 75 percent of the total assets in real estate assets.
2. Derive at least 75 percent of the gross income from real property rents.
3. Pay dividends of at least 90 percent of the taxable income.

Though REITs were a novel concept in the 1960s, they did not catch on with investors. Institutions were not interested because the tax law prohibited five or fewer individuals from owning more than 50 percent of a REIT's shares. As a result, for the first 30 years, the market capitalization of the REIT industry grew to only \$5.6 billion (including only equity REITs).

A tax law change in the early 1990s was the catalyst for an explosion in the REIT market. The change allowed pension trusts to take much larger positions in real estate investment without violating trust law. Because of the liquidity that REITs offered, institutions saw them as a perfect avenue for increasing their exposure to real estate.

According to the National Association of Real Estate Investment Trusts (NAREIT), between 1990 and 2009, the market grew from \$5.5 billion in fewer than 60 small equity REITs to over 100 issues with over \$250 billion of market capitalization. Although those sound like impressive numbers, equity REITs still represent a relatively small part of the overall commercial real estate market and less than 3 percent of the capitalization of the U.S. stock market.

The securitization of the real estate market still has a long way to go. The total value of the commercial real estate market is approximately \$15 trillion, according to Federal Reserve data. But not all real estate is eligible for inclusion in REITs. Publicly traded corporations own a large amount of commercial real estate, which therefore is technically already included as